

FIGURE 7-1 Up, Up, and Away

	1995	1996	1997	1998	1999
General Electric					
Revenue (\$ millions)	43,013	46,119	48,952	51,546	55,645
Earnings per share (\$)	0.65	0.75	0.85	0.95	1.07
Yearly stock return (%)	44.5	40.0	50.6	40.7	53.2
Year-end price/earnings ratio	18.4	22.8	29.9	36.4	47.9
Home Depot					
Revenue (\$ millions)	15,470	19,536	24,156	30,219	36,434
Earnings per share (\$)	0.34	0.43	0.52	0.71	1.00
Yearly stock return (%)	4.2	5.5	76.8	108.3	68.8
Year-end price/earnings ratio	32.3	27.6	37.5	61.8	73.7
Sun Microsystems					
Revenue (\$ millions)	5,902	7,095	8,598	9,791	11,726
Earnings per share (\$)	0.11	0.17	0.24	0.29	0.36
Yearly stock return (%)	157.0	12.6	55.2	114.7	301.7
Year-end price/earnings ratio	20.3	17.7	17.9	34.5	97.7

Sources: Bloomberg, Value Line

Notes: Revenues and earnings for fiscal years; stock return for calendar years; price/earnings ratio is December 31 price divided by reported earnings for previous four quarters.

FIGURE 7-2 Look Out Below

	Stock price 12/31/99	Stock price 12/31/02	P/E ratio 12/31/99	P/E ratio March 2003
General Electric	\$51.58	\$24.35	48.1	15.7
Home Depot	\$68.75	\$23.96	97.4	14.3
Sun Microsystems	\$38.72	\$38.72	123.3	n/a

n/a: Not applicable; Sun had net loss in 2002.

Sources: www.morningstar.com, yahoo.marketguide.com

Even many corporate leaders fail to understand these odds (see sidebar on p. 184). The intelligent investor, however, gets interested in big growth stocks not when they are at their most popular—but when something goes wrong. In July 2002, Johnson & Johnson announced that Federal regulators were investigating accusations of false record keeping at one of its drug